

SMEs will benefit from the new two-tier profits tax system

The Chief Executive, in her maiden Policy Address delivered in October 2017, introduced a two-tier profits tax system for Hong Kong. On 29 December 2017, the Bill that implements this tax measure was gazetted. Once enacted, the two-tier system will be effective from year of assessment 2018/19.

Key features of the two-tier profits tax rates

The key features of the proposed two-tier profits tax rates as set out in the Bill are:

1. The first HK\$2 million of assessable profits of all corporations will be subject to a reduced rate of 8.25% and the remaining amount will be subject to the normal rate of 16.5%.
2. The first HK\$2 million of assessable profits of all unincorporated businesses (mainly sole proprietorships and partnerships) will be subject to a reduced rate of 7.5% and the remaining amount will be subject to the normal rate of 15%.
3. The reduced tax rates of 8.25% / 7.5% will apply to all corporations and unincorporated businesses with assessable profits irrespective of their size and industry with the exception discussed in (4) below.
4. If a corporation has made an election for applying the 8.25% concessionary tax rate to a portion of its assessable profits under any of the concessionary regimes for reinsurance business, captive insurance business, corporate treasury centres, aircraft leasing business or aircraft leasing management business, then the rest of its assessable profits will be subject to profits tax at the normal rate of 16.5%.
5. There is a provision to prevent a group from setting up numerous entities and splitting its businesses across the entities to enjoy multiple entitlements to the reduced rate. A group of “connected entities” can only nominate one entity within the group to make an election to enjoy the reduced tax rate for a given year of assessment. The two-tier profits tax rates are the default rates to be used to compute the profits tax liability of any entity. The above-mentioned provision works in the way that the default rates are modified for a “connected entity” so that its whole profits will be subject to profits tax at the rate of 16.5% or 15%. The “connected entity”, however, can elect in writing to be exempted from the modification of the default rates. The election, once made, is irrevocable. In addition, once an entity (entity B) has been so exempted for a given year of assessment, similar exemption will not apply to an entity (entity A) that is a connected entity of entity B at the end of the basis period for that year of assessment. For this purpose, an entity is a connected entity of another entity if one of them has control over the other or both of them are under the control of the same entity, and “control” exists by virtue of having more than 50% direct or indirect shareholding, voting rights or entitlement to capital or profits of an entity. In addition, two sole proprietorship businesses carried on by the same natural person are also regarded as a connected entity of each other.

Maintaining a competitive tax rate

The proposed two-tier system signifies the government's commitment on maintaining a competitive tax rate and fostering a favourable business environment in Hong Kong. The introduction of the measure is timely given that a number of countries around the globe are reducing or planning to reduce their corporate income tax (CIT) rates. For examples, the UK plans to lower its CIT rate to 17% by 2020 and the US has lowered its federal CIT rate to 21% effective from 1 January 2018.



Relief of tax burden for SMEs

Under the proposed two-tier system, the maximum annual tax savings for corporations and unincorporated businesses will be HK\$165,000 and HK\$150,000 respectively. While these amounts may not be very substantial for large multinational groups, it should provide significant tax relief to most taxpaying SMEs. According to the latest government statistics available (which are related to year of assessment 2015/16), 82,500 corporations and 29,400 unincorporated businesses had assessable profits of HK\$2 million or below. Under the proposed two-tier system, the tax burden of these taxpaying SMEs will be reduced by 50%. This tax relief will provide financial support to SMEs in addition to the SME Funding Schemes offered by the Trade and Industry Department.

On the other hand, the reduction in tax revenue under the proposed scheme estimated by the government based on the total profits tax collected for 2016/17 is HK\$5.8 billion per year.

Anti-avoidance measures under the proposed regime

The anti-avoidance measures are preventive measures for potential abuse of the two-tier system. It will be desirable that these measures will not create burdensome compliance requirements for businesses, especially SMEs (e.g. the documents required to substantiate they are not part of a group). Instead of only allowing taxpayers to elect one of the entities within a group to enjoy the benefit, an alternative method is to allow taxpayers to allocate the limit on the assessable profits among associated entities within a group, such as the approach adopted by Canada. In Canada, Canadian-controlled private corporations (CCPCs) are entitled to a preferential federal CIT rate of 10.5% for their income up to CAD500,000 derived from an active business carried on in Canada. In cases where two or more CCPCs are associated with each other in a tax year, instead of restricting the application of the reduced rate to only one of the CCPCs, the CAD500,000 limit can be shared among associated CCPCs and the taxpayers can make the allocation themselves. The general federal CIT rate in Canada is 28% (i.e. basic rate of 38% less provincial abatement of 10%).

This article is contributed by PwC.